markets and reflected in market participants' decisions. Investors should focus on developing a plan and working around it to achieve their investment goals. After all, your financial goals and needs do not change, even when the circumstances that influence them do. The challenge is not to eliminate risk, but to understand how to navigate it thoughtfully.

When you invest, you need clear timelines. Most successful investors profess the virtues of long-term investing. They are successful because they try to truly understand the underlying business, including its revenue model, growth potential and profit margins, rather than getting caught up in daily price swings. If you are looking to invest directly in stocks, use this approach, but you may burn your fingers. Holding on to quality investments is what long-term investing is all about.



DESPITE RISING PREMIUMS, HEALTH INSURANCE IS A MUST, AS HEALTHCARE COSTS DON'T REALLY WORK IN YOUR FAVOUR

THE MF WAY

If doing it on your own isn't for you, the mutual fund (MF) route is not only convenient but also addresses many aspects of investing. You simply follow a disciplined approach to regular investing and track how your investments perform over time. The rest is managed by professional fund managers. You must be aware of global events as stock markets are driven by news and sentiment, as well as market indicators. You cannot ignore currency fluctuations or global interest rate cycles, as capital flows across geographies depend on them. It may also be in your interest to temper market return expectations this year and possibly the next few years, compared with the couple of years post COVID.

The timeless principles of investing will come to the rescue again. Your investment should focus on appropriate asset allocation and diversification. Given the substantial return on gold in 2025, it has entered most portfolios. But this year may not be the same as the last for the yellow metal. Position your exposure to assets based on what is driving them, and allocate accordingly. Evaluate businesses on earnings and growth. Ditto for valuation, which was stretched for many stocks in 2025. The market has corrected at several levels, making several stocks worth a look.

The correction was sharp in the mid- and small-cap space, and valuations remain high for many of the stocks in this space. Be cautious when picking stocks, and do so only if you can withstand the swings. For everything else, you have MFs. The upside with MFs is that you can align different portfolios based on their potential returns to meet your investment goal.

Another tool that can work quietly for you over the long term is compounding. It can yield noteworthy results, though it's often overlooked because it requires time for gradual growth. Within MFs, index funds are gaining traction, and they may be a good option for many new investors looking to get a taste of how these funds work. SIP will remain the favourite among MF investors. Not only has it changed investors' mindset, it has also demonstrated the power of disciplined investing.

You should also track the performance of your funds and adjust them based on your evolving investment needs and their performance. The government's budget announcements and policy initiatives are all aimed at favouring consumption and growth. Clarity on India's trade deals with other nations will also affect how stock markets fare this year. Do not limit diversification to equities; the fixed-income space offers significant opportunities and plays a meaningful role. Access to bonds through the RBI Direct platform can help you diversify safely into bonds, while adding metals selectively and in moderation.

As we adapt to rapid technological advances in all aspects of our lives, to make money work for you, look beyond the numbers. Set realistic expectations for your savings and investments. Identify sources that can help you develop a framework to make your money work for you and, at the same time, not miss out on the smaller, yet important things in life. You need to keep pace with changes around you, not only to meet the demands of your professional life but also in your personal life. ■